LITE Selloff: Briefing for Dad

Oct 14, 2026 · @pranav mulakala

Lumentum is down about 17% from its early-October high because the whole AI-optics and memory group is being sold, not because of bad Lumentum news. The family now holds roughly $1.13M of LITE, so the real decision for the remaining ~$300k is how much more to tie to one stock and one employer, more than the exact entry price.

Where we stand

Together the two households have put about $1.44M into three AI-hardware stocks and are down about $92k on paper. Prices are from 10:05 AM ET on Oct 14 (LITE $945.06, MU $942.48, MRVL $257.65).

Who	Stock	Shares	Average cost	Paid	Worth now	Gain / loss
Dad	LITE	1,000	$1,007.57	$1,007,570	$945,060	−$62,510 (−6.2%)
Dad	MRVL	1,000	$270.11	$270,105	$257,650	−$12,455 (−4.6%)
Pranav	LITE	105.6	$1,043.48	$110,200	$99,806	−$10,394 (−9.4%)
Pranav	MU	51.0	$1,079.08	$55,001	$48,038	−$6,963 (−12.7%)

- **Dad's LITE buys:** 300 at $1,042.99, 300 at $1,012.60, 300 at $984.91 (all Oct 12) and 100 at $954.21 (Oct 14).
- **What a move costs Dad:** every $10 move in LITE is $10,000. A repeat of this year's May–July slide (−43%) would be about −$430k on his LITE alone.
- **Dad still has about $300k** not yet invested.

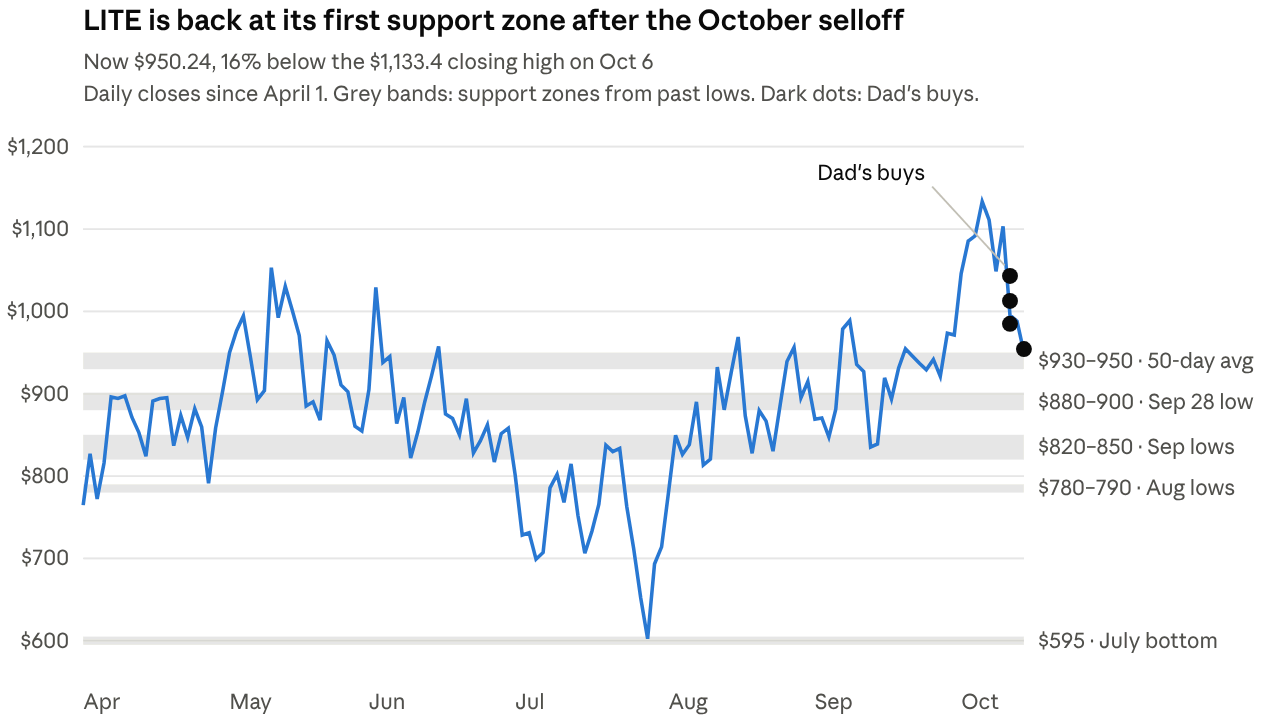
What happened, Oct 8–14

Four separate shocks hit the AI-hardware group within a week. None of them was bad news from Lumentum itself.

Date	Event	Effect on LITE
Oct 14	September inflation came in hot: 3.7% vs 3.6% expected (core 2.6% vs 2.5%). Traders raised the odds of another Fed rate hike in December. (Reuters via Investing.com)	About −4% by 10 AM. Higher rates hit richly valued growth stocks hardest.
Oct 13	Korea's stock market fell 6–7% overnight, with SK Hynix about −9% and Samsung about −8%, on fears about Chinese memory maker CXMT. (CNBC)	Fell to $953, then recovered to close at $987.80 (−0.7%).
Oct 12	All optical stocks sold off together (Ciena −10%, Coherent −8%, AAOI −8%). Reports blamed "sell the news" around the OCP Global Summit and profit-taking after a 190% year. (24/7 Wall St.)	−9.8% to $995.10, its biggest one-day dollar drop ever (−$108).
Oct 9	Lumentum's CEO said its AI optical parts are sold out into early 2029.	+5.2% to $1,103; intraday high $1,143.
Oct 8	OpenAI's revenue run rate came in near $50B, below the roughly $68B expected, raising doubts about AI spending. (Motley Fool)	−5.6%.

The pattern matches LITE's past big drops: none of its 13 drops of 9% or more in the last two years was traced to a problem at Lumentum. The ones with a known cause were market or AI-sector scares (DeepSeek, tariffs, Nvidia earnings, a chip-delay report).

The picture: six months of LITE



Alpaca SIP daily closes, Apr 1 – Oct 13, 2026; Oct 14 is the live price mid-morning

LITE has bounced off each grey zone at least once since April, but in July it fell through all of them to $602 before recovering to a new high.

What analysts say

Most analysts still rate LITE a buy, with an average 12-month target of about $1,080–$1,160, roughly 15–25% above today's price. Their targets range from $820 to $1,500, and nobody has changed their view because of this week's drop.

Firm	Rating	Target	Date	View
Zacks	Hold (cut from Strong Buy)	—	Oct 12	Downgrade after the run-up
Stifel	Buy	$1,232 (raised from $1,100)	early Oct	Demand ahead of supply
Rosenblatt	Buy	$1,300	early Oct	Reaffirmed

Firm	Rating	Target	Date	View
Citi	Buy	$1,400 (raised from $1,200)	Sep 28	Bull case
Bank of America	—	$1,000 (cut)	early Oct	Warns the stock could fall hard if optical growth slows
UBS	—	$820	August	Lowest target on the Street

- **Bull case:** Lumentum's CEO says AI optical parts are sold out into early 2029, and Lumentum can't meet about 70% of demand for some products through 2027. After July's 33% drop, Barclays upgraded the stock and called the selloff the opportunity (TIKR).
- **Bear case:** "sold out" can also mean growth is capped until new factories open. Lumentum's newest laser fab in North Carolina is about two years from production. Insiders sold about $86M of stock last quarter, including the CFO on Oct 1, though under a pre-planned trading plan.
- **Micron (Pranav's stock):** 45 of 49 analysts rate it a buy, with an average target near $1,555. Mizuho said it "would not be selling or in a panic" over the CXMT news (Investing.com). Cathie Wood warned that more Chinese competitors will make memory prices swing harder (TipRanks).
- **Caution on targets:** analysts usually move their targets after the price moves. They were also calling the May–July slide an overreaction while LITE fell 43%.

Target sources: StockAnalysis, MarketBeat, Cerbat Gem. I did not research analyst views on MRVL.

What investors online say

Small investors are split between buying the dip and "the top is in." Nobody online found a Lumentum-specific reason for the drop. The one signal with real money behind it is a pair of large bets that LITE stays low through Friday.

What people are saying	How common	Typical argument
Confused: "what's the news?"	Most common on Oct 12	The stock set a record high Friday, then fell 10% Monday with no news.
Buying the dip	Common; strongest on Micron (124 bullish vs 39 bearish tagged posts on Oct 14)	Sold out to 2029, demand is real; "this is like DeepSeek," which recovered.
"Sold out is actually bad"	A serious minority	Revenue for 2–3 years is already priced in, and customers who can't get parts go to Coherent or AAOI.
Bearish price calls	Minority	"Back to $700," "$850 tomorrow," "huge correction starting."
Exhausted by the swings	Growing on Oct 13–14	"Disgusting moves every day," "second most volatile name I trade," stopped out repeatedly.
Anger and conspiracy	Common	"Manipulation," "hedge funds dumping." No evidence offered.

- **The big options bets:** overnight Oct 13–14, someone paid about **$200,000 for LITE $955 puts** and another **$212,000 for $930 puts**, both expiring Friday, Oct 16. That's either a large bet that LITE stays below roughly $930–955 this week, or a big holder buying insurance on their shares.
- **WallStreetBets** barely discussed optics. Its posts were mostly about buying Micron.
- **Lumentum's own subreddit** was silent.
- **A warning from the forums:** several AAOI holders (a similar optics stock) posted that they had lost their life savings after putting too much into one volatile stock.

Source: StockTwits streams for LITE, MU, COHR, AAOI and CIEN, Reddit search and the WallStreetBets daily thread, Oct 12–14 (about 800 posts read). Forum mood has not been a reliable signal in our past checks.

Support levels and the odds of reaching them

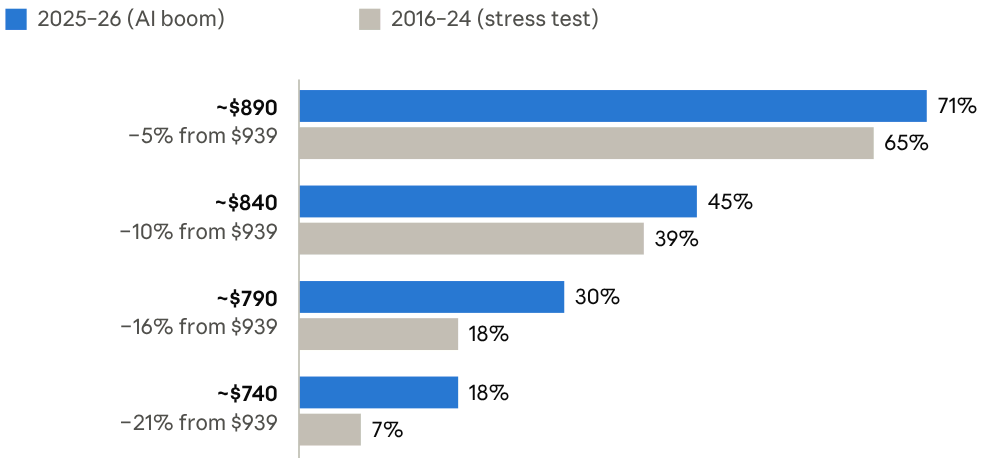
The $880–900 zone is a reasonable first support, but it isn't a floor. In LITE's history, a dip that reached the first support kept going to the next one about half the time. A "support level" is just a price where buyers stepped in before. Below are LITE's own levels from daily prices, Oct 2025 to Oct 2026.

Price zone	Why it matters	How far below $945
$930–950 (here now)	50-day average ($930); the most-traded price zone since August (52M shares); the Friday put bets sit at $930 and $955	0 to −2%
$880–900	Sep 28 low ($881); heavy trading at $875–900; 100-day average $877	−5% to −7%
$820–850	Sep 15 low ($832) and Sep 3 low ($819); second-busiest trading zone since August	−10% to −13%
$780–790	Aug 11, Aug 24 and Apr 28 lows ($787, $784, $780); 200-day average $770	−17%
$595	Jul 29 bottom of the May–July slide (−43% from its high)	−37%

The two charts below show how often LITE actually fell to these prices from a starting point like today's, and what happened after its past big one-day drops. Both use real daily prices: 2025–26 is the AI boom, and 2016–24 is the stress test for a calmer or falling market.

LITE usually dips 5% within a month, but a 10% dip is closer to a coin flip

How often LITE touched each price within the next 20 trading days, starting from a price like today's $939



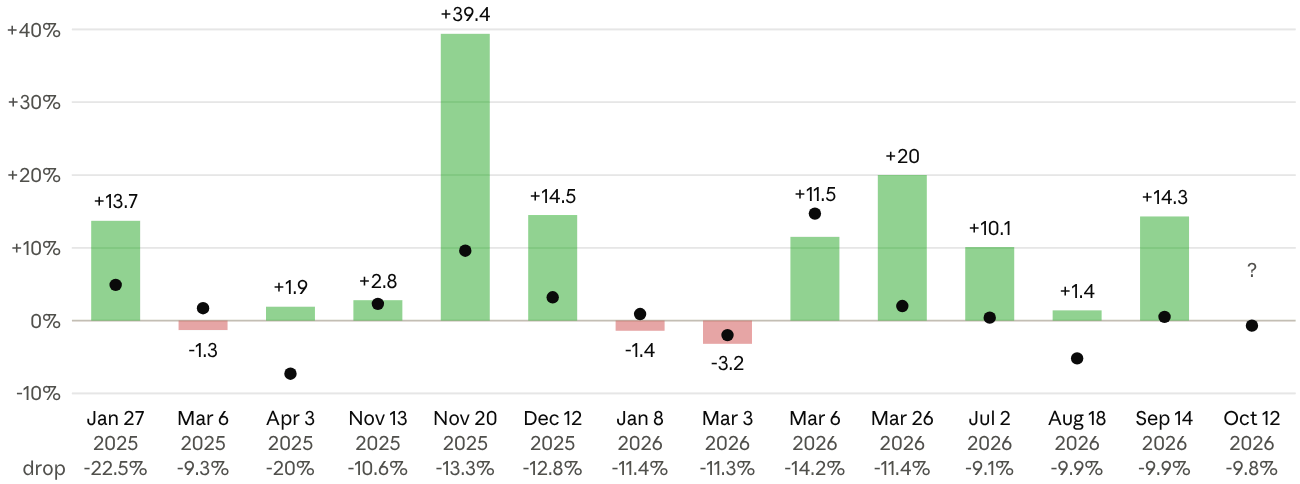
Calculated from Alpaca SIP daily prices: every trading day in each period as a start, intraday lows over the next 20 trading days

A buy order at $900 would usually fill within a month. A dip to $840 happened a bit less than half the time. When LITE didn't dip, it often ran up 20% or more without anyone who was waiting.

After past 9% drops, LITE was usually higher a week later, but not always

Every LITE close down 9% or more since 2025: up 5 trading days later in 10 of 13 (middle result +10.1%), up the next day in 10 of 14

Bars: change 5 trading days later (green up, red down). Dark dots: change the next day.



Calculated from Alpaca SIP daily closes, Jan 2025 – Oct 13, 2026; Oct 12, 2026 is this week's drop, its 5-day result not yet known

These bounces happened during a year when LITE rose about 12 times over, which made recoveries easy. During the May–July slide, several 8–9% drops were followed by more 6–8% drops within days. Past bounces don't guarantee this one.

What our own strategy tests found

No dip-buying rule we tested beat simply holding the market. In LITE's boom, buying right away beat waiting for a dip. Each test's rules were written down and committed before any results were seen, so the results weren't tuned to look good.

Test	What it checked	Result
Buy now vs. wait for a dip (LITE, Oct 2)	Buy today, or wait for a 5% or 10% lower price and buy only if it comes	2025–26: buying now averaged +14.4% a month later, vs +10.2% waiting for −5% and +4.2% waiting for −10%. 2016–24: all about the same (+1–2%).
#19: buy big stocks after a 10% one-day drop (2020–2026)	Buy any large, uptrending stock that fell 10%+ in a day; sell at +20% or after 2 weeks	Failed. $100k → $102.5k vs $261.6k for the S&P 500. Only 28% of drops reached +20% within two weeks; 52% fell another 10% first.
#15: buy every morning dip, no stop (100 volatile stocks)	Buy a 1% morning dip, sell at +2%, never sell at a loss	Failed. 96% of trades won, but 10 stuck buys fell 80–98% and $100k became $93k (S&P: $171k).
LITE dip-buying replay (2022–2026)	The same dip rule on LITE only, $60k per buy	Results swung on single days. The worst drop from peak was −$32k to −$40k.
#14: stay invested only while the market is above its 200-day average	A trend rule on the whole stock market, not LITE	The only test that passed (1927–2026), though since 2000 it only tied the market.

- **Waiting can cost more than it saves.** In the boom, the times LITE never dipped and ran +20% without you cost more than the discounts saved on the times it did dip.

- **Buying after a big drop isn't an edge by itself.** Across thousands of large stocks, a 10% drop was followed by a further 10% drop more often than by a 20% rebound.
- **On the trend rule:** LITE is still far above its own 200-day average ($770). That says the long-term uptrend hasn't broken, though the rule was tested on the whole market, not on a single stock.

The concentration question

Dad's salary and about $1M of his savings already depend on Lumentum. Adding the last $300k would put about $1.31M in one company. That is the biggest risk in this decision, bigger than whether he buys at $900 or $880.

If Dad adds $300k to LITE	LITE holding	Each $10 LITE move	A May–July-style drop (−43%)
Today (no add)	$1.01M at cost	$10,000	about −$406k from today's value
After adding $300k near $900	about $1.31M	about $13,300	about −$540k

- **Job and stock fall together.** A downturn at Lumentum can hit his paycheck, bonus and equity at the same moment the stock falls, which is when he'd most need the savings.
- **This has happened to LITE before.** It fell 63% from 2022 to 2024, and 43% between May and July this year, before recovering.
- **Trading window:** as an employee he should confirm the company trading window is open before each buy. Earnings are Nov 5, and many companies close the window a few weeks before earnings.
- **Pranav is in the same trade:** about $158k in LITE and MU, close to his whole brokerage account. The family has put about $1.44M into AI hardware in total.

Four ways to handle the remaining ~$300k

No choice wins in every scenario. Buying now does best if LITE rebounds right away. Splitting the buy loses least if it keeps falling. Keeping the money out of LITE is the only choice that can't lose, and it gives up all the upside. This is a comparison, not a recommendation: the right mix depends on how much of Dad's total savings the $300k is.

Result for the $300k about a month from now, in dollars:

Scenario (how often in 2025–26)	1. Buy all now (~$945)	2. One order at $900	3. Thirds at $900 / $840 / $790	4. Keep out of LITE (~4% interest)
Rebounds to $1,100 without reaching $900 (~29%)	+$49k	$0 (never fills)	$0 (never fills)	+$1k
Dips to $900, recovers to $1,000	+$18k	+$33k	+$11k ($100k invested)	+$1k
Falls to $840 and stays (~45% reach $840)	−$33k	−$20k	−$7k ($200k invested)	+$1k
Repeat of May–July, falls to $600 (~18% reach −21%)	−$110k	−$100k	−$86k	+$1k

- **Option 2 (one order at $900):** fills about 70% of the time within a month. If it fills and LITE keeps sliding to $840, the whole $300k is down about $20k right away.
- **Option 3 (thirds):** no single guess decides the result. The lower pieces only fill if LITE really falls, so in a rebound he may end up investing less than $300k.
- **Option 4 (keep it out):** limits how much one company can hurt the family. "Out of LITE" can mean cash, Treasury bills, or a broad index fund, which is a separate choice.
- **Combinations are possible,** for example part of the money in thirds and the rest kept out of LITE.
- **One open question decides a lot:** is this $300k most of what Dad has outside Lumentum, or a small part of a larger nest egg?

Events to watch

TSMC's earnings on Thursday are the next event likely to move LITE by several percent in either direction. Any buy placed before then is partly a bet on that report.

1. **Thu Oct 15: TSMC earnings.** TSMC makes chips for nearly every AI company, so a strong report usually lifts the whole group and a weak one drags it down. The PPI inflation report is also expected Thursday, per traders online.

2. **Fri Oct 16: options expiration.** The $930 and $955 put bets expire, which can add swings around those prices.
3. **Nov 5: Lumentum earnings.** The August report beat estimates, yet the stock fell about 6% after it, on a large one-time accounting charge.
4. **Dec: Fed meeting.** Hot inflation raised the odds of another rate hike, which tends to weigh on high-valued tech stocks.
5. **Mid/late Dec: Micron earnings,** for Pranav's MU.

Sources

- Prices: Alpaca market data (SIP daily bars 2016–2026; IEX live quotes Oct 12–14). Support levels, odds and after-drop results are calculated from those daily prices.
- Positions: Dad's E*Trade execution emails and Pranav's Robinhood screens, Oct 12–14.
- News: 24/7 Wall St., Oct 12 · CNBC, Oct 13 · Reuters via Investing.com, Oct 14 · Motley Fool, Oct 8 · Investing.com: Lumentum sliding
- Analysts: StockAnalysis · MarketBeat · Mizuho via Investing.com · TipRanks (Cathie Wood) · TIKR (Barclays)
- Forums: StockTwits symbol streams and Reddit, Oct 12–14.
- Strategy tests: Pranav's research repo (pre-declared tests #14, #15, #19 and the Oct 2 buy-timing study).

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